MCQS

ECO606 midterm preparation file

ZB

بسم الله الرحمن الرحيم

In the name of God , Most Gracious, Most merciful

ECO606

MCQS

1. What is the primary focus of microeconomics?

a) Aggregate economic behavior

b) Individual economic agents' behavior

c) Government policy

d) National income measurement

Answer: b) Individual economic agents' behavior

2. Which of the following is a characteristic of perfect competition?

a) Barriers to entry

b) Homogeneous products

c) Price-making power

d) Limited information

Answer: b) Homogeneous products

3. In a market economy, the role of the government is primarily to:

a) Control prices and wages

b) Provide goods and services

c) Enforce laws and regulations

d) Set output levels

Answer: c) Enforce laws and regulations

4. Which of the following is the correct definition of opportunity cost?

a) The total cost of all alternatives

b) The monetary cost of an option

c) The cost of the next best alternative foregone

d) The fixed cost of a decision

Answer: c) The cost of the next best alternative foregone

5. What happens when the price of a good increases, ceteris paribus?

a) Quantity demanded increases

b) Quantity supplied decreases

c) Quantity supplied increases

d) Demand increases

Answer: c) Quantity supplied increases

6. The law of demand states that: a) As price decreases, quantity demanded decreases

b) As price increases, quantity demanded increases

c) As price increases, quantity demanded decreases

d) There is no relationship between price and demand

Answer: c) As price increases, quantity demanded decreases

7. What does GDP measure?

a) National savings

b) Total income earned by a country's residents

c) Total value of goods and services produced in a country

d) All of the above

Answer: c) Total value of goods and services produced in a country

8. If a country's inflation rate is higher than that of its trading partners, it is likely to:

a) Experience a decrease in exports

b) Experience an increase in imports

c) See no change in trade balance

d) See both imports and exports increase

Answer: a) Experience a decrease in exports

9. What is a main characteristic of a monopoly?

a) A few firms dominate the market

b) Many firms produce differentiated products

c) One firm controls the market

d) Firms are price takers

Answer: c) One firm controls the market

10. Which of the following is an example of an externality?

a) A company offering discounts on its products

b) A firm polluting a river, affecting nearby residents

c) An individual buying a product for personal use

d) Government imposing taxes on businesses

Answer: b) A firm polluting a river, affecting nearby residents

11. If demand for a good is elastic, a decrease in price will result in:

a) A decrease in total revenue

b) An increase in total revenue

c) No change in total revenue

d) A decrease in quantity demanded

Answer: b) An increase in total revenue

12. What is meant by 'market equilibrium'?

a) The point at which supply and demand are equal

b) The point where demand exceeds supply

c) The point where supply exceeds demand

d) The price at which goods are most expensive

Answer: a) The point at which supply and demand are equal

13. Which of the following is an example of a public good?

a) A private club membership

b) National defense

c) A bottle of water

d) A concert ticket

Answer: b) National defense

14. The marginal cost curve typically slopes:

a) Upwards

b) Downwards

c) Horizontally

d) In a U-shape

Answer: a) Upwards

15. Which of the following factors would shift the supply curve to the left?

a) A decrease in input prices

b) An improvement in technology

c) A tax on producers

d) A decrease in consumer income

Answer: c) A tax on producers

16. What is the main purpose of fiscal policy?

a) Control inflation by regulating the money supply

b) Stimulate or dampen economic activity through government spending and taxation

c) Control interest rates

d) Manage exchange rates

Answer: b) Stimulate or dampen economic activity through government spending and taxation

17. Which of the following is true about a price ceiling?

a) It sets a maximum price for a good or service

b) It sets a minimum price for a good or service

c) It has no impact on market equilibrium

d) It leads to a surplus

Answer: a) It sets a maximum price for a good or service

18. What happens in a market when there is a price floor above the equilibrium price?

a) Surplus

b) Shortage

c) Equilibrium

d) No change in quantity demanded

Answer: a) Surplus

19. Which of the following factors determines the elasticity of supply?

a) The availability of substitutes

b) The time period under consideration

c) The income of consumers

d) The price of the good

Answer: b) The time period under consideration

20. Which of the following is an example of a monopoly?

a) A single electricity provider in a city

b) A coffee shop in a busy town square

c) The smartphone industry

d) The airline industry

Answer: a) A single electricity provider in a city

21. What is the difference between nominal GDP and real GDP?

a) Nominal GDP adjusts for inflation, real GDP does not

b) Real GDP adjusts for inflation, nominal GDP does not

c) Nominal GDP includes government spending, real GDP does not

d) There is no difference

Answer: b) Real GDP adjusts for inflation, nominal GDP does not

22. In a monopolistically competitive market, firms produce:

a) Identical products

b) Differentiated products

c) No products

d) Homogeneous products

Answer: b) Differentiated products

23. What is the primary goal of antitrust policy?

a) To reduce the size of firms in the market

b) To promote fair competition and prevent monopolies

c) To control inflation

d) To encourage mergers and acquisitions

Answer: b) To promote fair competition and prevent monopolies

24. What is the formula for calculating elasticity of demand?

a) Percentage change in quantity demanded / Percentage change in price

b) Total revenue / Quantity demanded

c) Price / Quantity demanded

d) Price change / Total revenue change

Answer: a) Percentage change in quantity demanded / Percentage change in price

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25. If the income elasticity of demand for a good is negative, the good is considered:

a) A normal good

b) A luxury good

c) A necessity

d) An inferior good

Answer: d) An inferior good

26. Which of the following is the most common example of a price discrimination strategy?

a) Selling at the same price to all customers

b) Offering discounts to frequent customers

c) Charging different prices based on consumer's willingness to pay

d) Setting one price for the peak season and another for off-season

Answer: c) Charging different prices based on consumer's willingness to pay

27. Which of the following represents a shift in the demand curve?

a) A change in the price of the good

b) A change in the income of consumers

c) A change in the number of sellers

d) A change in technology

Answer: b) A change in the income of consumers

28. The supply curve typically slopes:

a) Downwards to the right

b) Upwards to the left

c) Upwards to the right

d) Downwards to the left

Answer: c) Upwards to the right

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29. Which of the following would increase aggregate demand?

a) A decrease in government spending

b) An increase in taxes

c) A decrease in interest rates

d) A decrease in consumer confidence

Answer: c) A decrease in interest rates

30. Which of the following best describes the term 'elasticity'?

a) The change in the total revenue due to price change

b) The responsiveness of one variable to a change in another variable

c) The total income generated by a firm

d) The measure of a good's availability

Answer: b) The responsiveness of one variable to a change in anoth31. Which of the following would shift the demand curve for a normal good to the right?

a) A decrease in income

b) A decrease in the price of substitute goods

c) An increase in consumer income

d) A decrease in the price of complementary goods

Answer: c) An increase in consumer income

32. What does the term 'marginal revenue' refer to?

a) The additional cost of producing one more unit

b) The additional revenue from selling one more unit of output

c) The total revenue from all units sold

d) The difference between total revenue and total cost

Answer: b) The additional revenue from selling one more unit of outputer variable

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33. Which of the following is a feature of oligopoly?
a) Many firms with no market power
b) Few firms with interdependent pricing decisions
c) A single firm with a monopoly over the market
d) Homogeneous products and perfect information
Answer: b) Few firms with interdependent pricing decisions

34. If the cross-price elasticity of demand between two goods is negative, the goods are:
a) Substitutes
b) Complements
c) Independent
d) Inferior goods
Answer: b) Complements

35. Which of the following is an example of a price floor?
a) Minimum wage
b) Rent controls
c) Gasoline price caps
d) Subsidized goods
Answer: a) Minimum wage

36. The concept of 'consumer surplus' refers to:
a) The difference between what consumers are willing to pay and what they actually pay
b) The total amount of goods purchased in the market
c) The cost to firms of supplying goods
d) The difference between total supply and total demand
Answer: a) The difference between what consumers are willing to pay and what they actually pay

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37. A tax on the seller of a product typically results in:

a) An increase in supply

b) An increase in consumer price

c) A reduction in consumer price

d) No change in price

Answer: b) An increase in consumer price

38. Which of the following would cause a movement along the demand curve?

a) A change in consumer preferences

b) A change in the price of the good

c) A change in income

d) A change in the price of a substitute good

Answer: b) A change in the price of the good

39. Which of the following is an example of a government intervention to correct market failure?

a) A tax on cigarettes

b) A monopoly charging a price lower than the competitive price

c) A company increasing its production without government regulation

d) A decrease in government spending on public goods

Answer: a) A tax on cigarettes

40. If the price elasticity of demand for a good is greater than 1, the demand is considered:

a) Inelastic

b) Elastic

c) Unit elastic

d) Perfectly elastic

Answer: b) Elastic

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41. The main aim of monetary policy is to:
a) Regulate government spending
b) Control inflation and stabilize currency value
c) Increase employment through fiscal stimulus
d) Adjust tax rates
Answer: b) Control inflation and stabilize currency value

42. The law of diminishing marginal utility states that as consumption of a good increases, the marginal utility:
a) Increases
b) Decreases
c) Remains constant
d) Becomes zero
Answer: b) Decreases

43. A perfectly competitive market is characterized by:
a) A few firms producing differentiated products
b) Many firms producing identical products
c) Barriers to entry
d) High control over prices by individual firms
Answer: b) Many firms producing identical products

44. Which of the following would lead to a shift in the supply curve for a good?
a) A change in the price of the good
b) A change in consumer income
c) A change in the cost of production
d) A change in the price of a substitute good
Answer: c) A change in the cost of production

45. What does a production possibilities frontier (PPF) illustrate?

a) The total output of a country at a given time

b) The maximum feasible combination of two goods that can be produced with a fixed set of resources

c) The total income earned by a country's residents

d) The trade-offs involved in consuming two goods

Answer: b) The maximum feasible combination of two goods that can be produced with a fixed set of resources

46. In the short run, a firm may continue operating even if it is incurring losses, provided that it:

a) Has high fixed costs

b) Can cover its variable costs

c) Is unable to raise its prices

d) Has no competition

Answer: b) Can cover its variable costs

ZB +92 300 5427579

WhatsApp:

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Second WhatsApp channel

channel on WhatsApp:

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YouTube:

https://youtu.be/-AMj4iNz0UE?si=hg29pJZ1kujzg57J

Phone no : +92 300 5427579

Phone no: +92 330 3869586

Email: asktozb@gmail.com

Passing criteria of this course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.
Therefore, for passing a course/subject, student shall fulfill the following:
a) Secure minimum 20% score in Formative Assessments/Mid terms
b) Secure minimum 20% score in Final Term Examinations.
c) Secure at least 40% marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?
A: Follow these steps:
1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).
2. Each subject typically has 3 credit hours.
3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.
Examples:
21 credit hours = 7 su18 credit hours = 6 subjects
15 credit hours = 5 subjects
Remember, the university may allow different credit hours for each student, so check your specific allowance.
By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

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Advice

Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed
Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum

moat se nahe bach saqty humy jahanam se bachny ki koshish krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat Fame

Moat

Humy pta hona chaheay Moat tab ani ha jab Allah chahy us se pehly puri dunya bi ak tararf ho ke apko marna chahy to apka kuch nahe beggar saqti

Risk/Dolat

Risk Dolat sb Allah pak ke hath m ha puri dunya ak taraf b ho jay na apsy apka risk cheen saqti ha na de saqti ha Ye sirf ALLAh pak ky hath m ha

Izat Zilat shohrat Fame

Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b apko zra brabr b demage nahe kr saqti Agr ALLAH

Apko izat dena chahay to puri dunya ak tararf ho ke b apko 1% b nuksan nahe pohancha saqti
Phr Dar ks bat ka ??????????????
Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne mat jhuko puri dunya mel k b apka kuch b nahe beggar saqti

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MY REQUEST FROM ALL OF YOU

ZB Request from All of you My family
Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my compaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se

Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha
Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us
m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us
Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn

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Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn

MY Family

ust Relax and focus! Exams are not difficult. Put in your 100% effort and trust in Allah.

AL-Quran

"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"

May Allah bless you